WHITE PAPER

Open Banking: A Game Changer In the Middle East

Evolution of the fintech industry in the Middle East with the rise of Open Banking initiatives

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More Markets
We are reaching more mobile subscribers than VODAFONE

More People
We are covering a higher population than any bank in the region

With
31 countries, 46 operators, 47 wallets, 8 banks, and 1.5 billion transaction processing each month.

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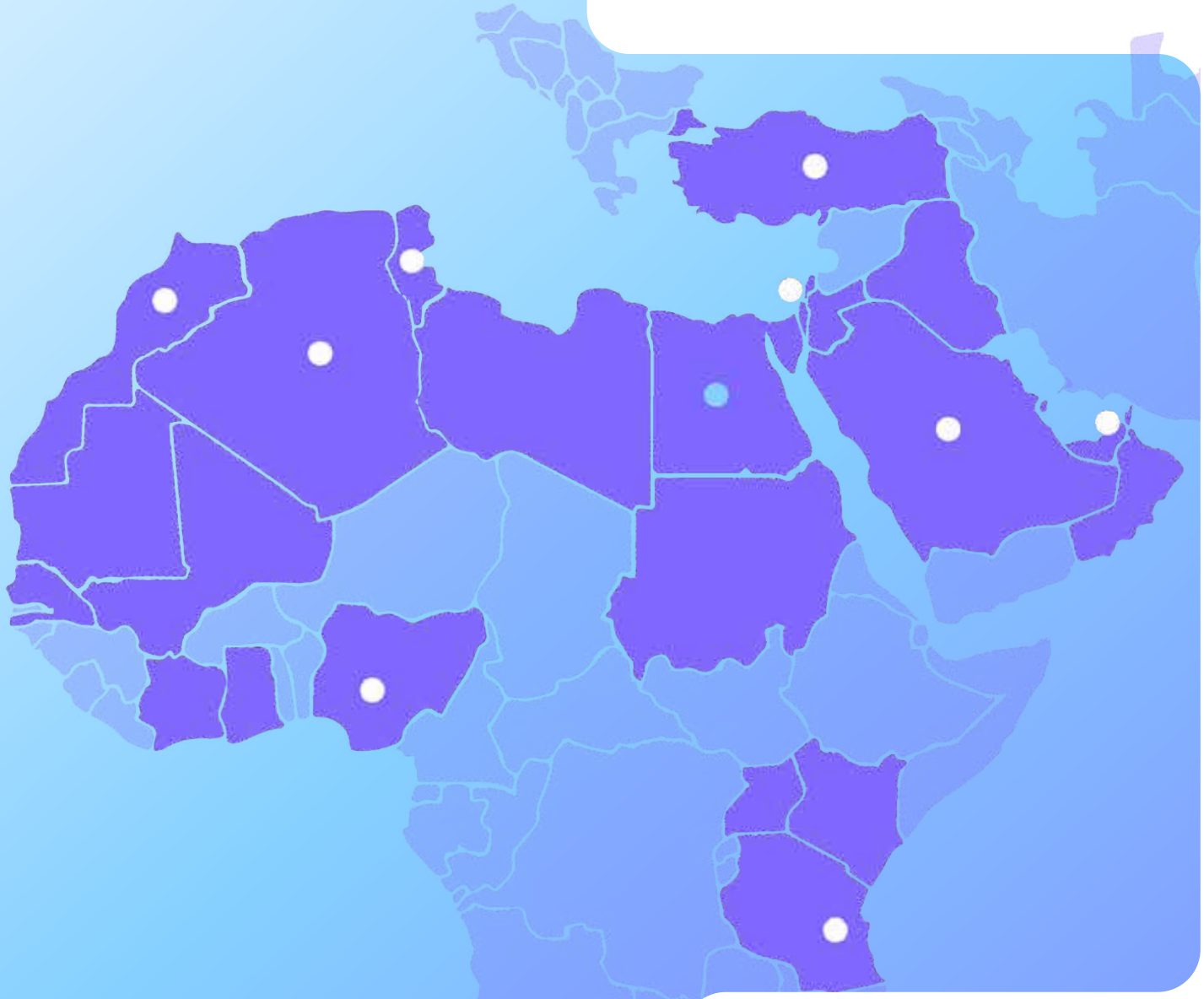

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Pivotal Years

The financial landscape in the Middle East is undergoing a significant transformation, primarily driven by the swift adoption of Open Banking and Open Finance frameworks. As central banks across the region implement new regulatory mandates, financial institutions are urged to view these changes not merely as compliance obligations but also as opportunities for innovation and growth.

A more competitive and enhanced regulatory environment will attract more significant investment and innovation in digital finance, enabling numerous local fintech companies to expand their reach across the region and beyond while maintaining a focus on boosting regional financial inclusion.

The region's adoption of mobile technology presents a significant opportunity as a market for digital financial services. The Middle East is leveraging this advantage to its benefit.

Nevertheless, one of the most pressing policy issues for all market participants in the region is determining the optimal roadmap and best course of action while maintaining a comprehensive approach during this era of rapid technological advancement and transformation. Central banks, financial regulatory bodies, and policymakers within MENA increasingly find it challenging to ensure that decisions regarding policy and regulation are both beneficial and valuable, and of course, aligned with consumer interests, due to the lack of empirical evidence.

This whitepaper aims to serve as a comprehensive guide for the fintech ecosystem in the Middle East to navigate the complexities of Open Banking and Open Finance, leveraging their potential to usher the region into a new era of financial services. It explores the evolving landscape of Open Banking in the Middle East and North Africa, highlighting key drivers, technological advancements, and the strategic imperatives for fintechs and banks to not only comply but also innovate further.

While Open Banking and Open Finance frameworks have transformative potential, they also present significant challenges that require ongoing attention for successful implementation. These challenges could affect their impact. This document outlines several obstacles for fintechs, ranging from basic security issues to more complex collaboration difficulties. If these challenges are addressed with the determination and creativity they demand, Open Finance could truly transform the region.

As the tpay team, we are dedicated to raising awareness of the transformations happening within our ecosystem, allowing regional companies to strategically position themselves to capitalise on the new opportunities presented by the Open Banking era. We believe that increasing awareness will cultivate a more dynamic and innovative financial ecosystem, benefiting both the industry and the consumers.

Let's hope this document serves as a beacon guiding our ecosystem through the transformative landscape of Open Banking and beyond. I am confident that with the right strategies and steps, 2025 and 2026 could be pivotal years for realising the promise of Open Finance.

Işık Uman,
tpay Group CEO

Fintech in Middle East: A Guide to Local Landscape

- The Rise of Fintech
- Increasing Funding Activity
- GCC-Led Region
- Leaders of the Revolution
- Key Factors Behind the Drive

01

The Rise of Fintech

Over the past decade, fintechs have profoundly reshaped certain areas of financial services with their differentiated, innovative, and customer-centric value propositions. Fintech startups attracted over half a trillion dollars in venture capital, globally from 2015 to 2024. According to data[1] from Lucidity Insights, global fintech venture capital (VC) investment reached its peak in 2021 with US$137.7 billion allocated in a single year.

It is also worth noting that at least three of the top ten most valuable privately owned companies in the world (as of the end of 2024) are fintechs:

- Ireland-based payments player Stripe (US$70 billion valuation),
- UK-based Neobank Revolut (US$45 billion),
- US-based Neobank Chime (US$25 billion).

If you consider crypto exchanges to be fintechs, then you should also include Binance (US$62 billion) and Coinbase (US$47.5 billion).

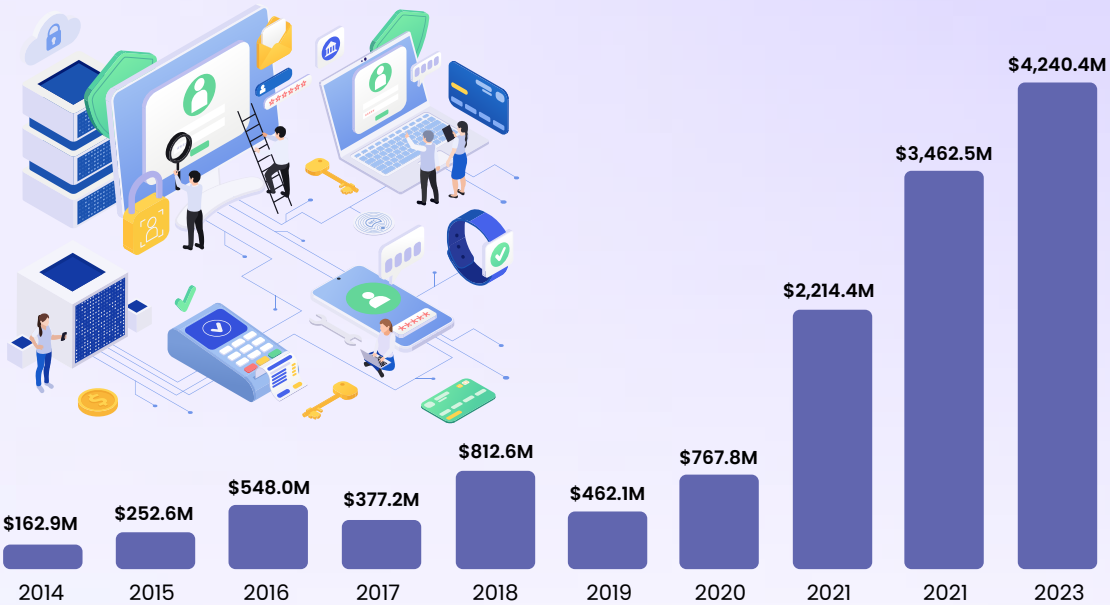
Although valuations are significantly lower than those of their Western counterparts, the fintech sector in the Middle East is also experiencing rapid growth. This surge is fueled by increased funding and updated licensing regulations, creating substantial profit opportunities for both established companies and newcomers in digital banking and payments. In fact, the region is at the forefront of the global digital payment systems revolution, which is expected to approach 6 billion users by 2026. Furthermore, the total number of digital wallet users worldwide is projected to surpass 5.2 billion[2] in 2026, up from 3.4 billion in 2022, marking robust growth of over 53%.

The Middle East is leveraging its high smartphone penetration and predominantly young, tech-savvy population to enhance digital wallets and mobile banking. Countries like Saudi Arabia and the United Arab Emirates (UAE) are already advancing toward cashless economies. Furthermore, over the past few years, several global payment solution providers, including Samsung Pay, Apple Pay, Alipay, and G-Pay, have also entered the market.

Regulatory support is driving this growth. Fintech regulatory regimes began to emerge in the Gulf region in 2017. Since then, the area has become a hotbed for fintech activity and regulatory advancement, with several jurisdictions vying to establish themselves as the fintech hub in the region. Many regional governments have set up sandboxes and fintech

10 YEARS OF MIDDLE EAST FINTECH FUNDING

In US$ Millions



Source: Lucidity Insights, 2024

hubs to foster and support experimentation and partnerships between startups and traditional financial institutions. Consequently, the Middle East is now evolving into a vibrant hub for fintech innovation, with ecosystems flourishing in countries like the UAE, Egypt, and Jordan.

> The remarkable increase in investor backing is an indication of returning trust both in the region and the fintech industry. Fintech once again leads all sectors.

Increasing Funding Activity

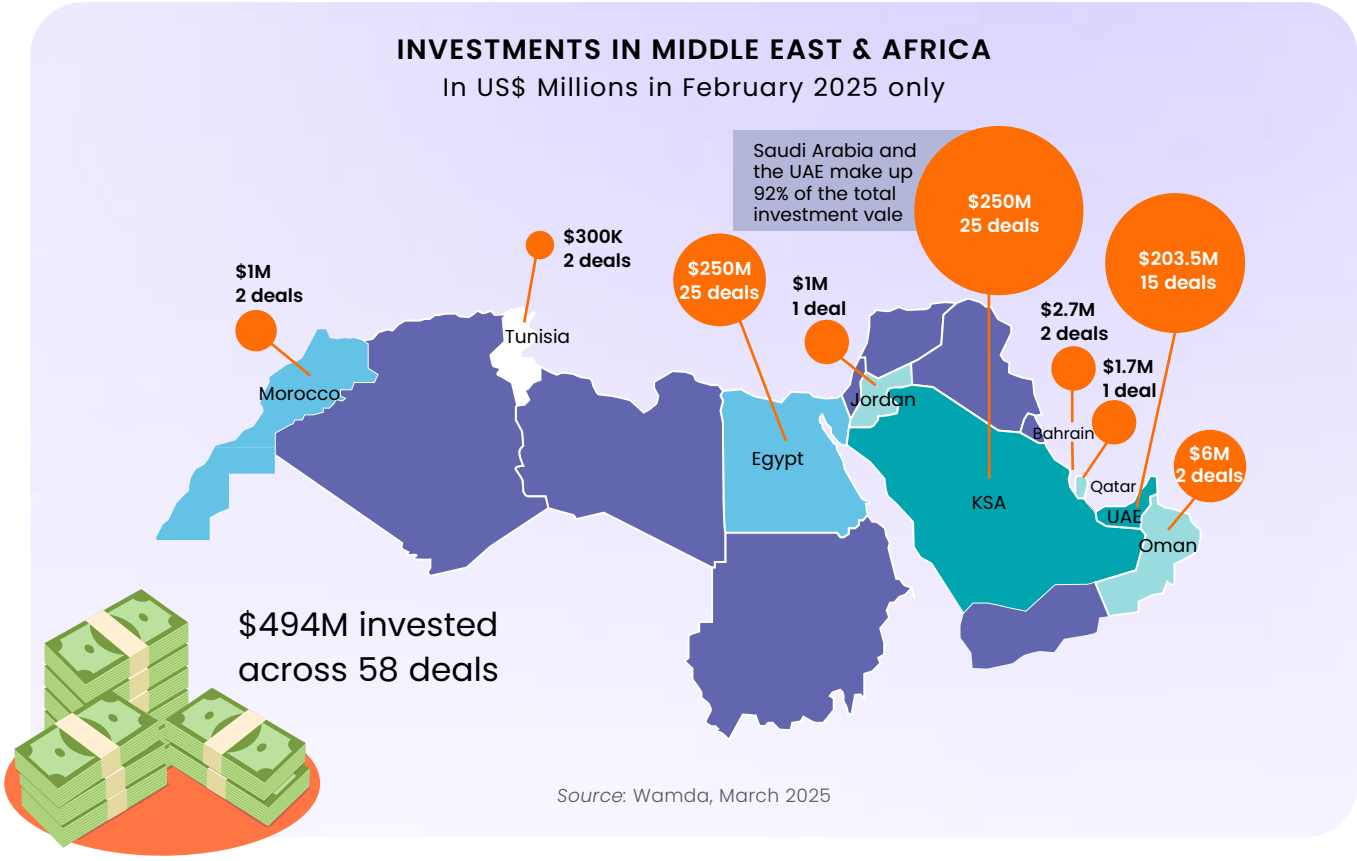
Another important factor driving this momentum is strong investors' interest. The startup ecosystem in the Middle East and North Africa (MENA) is experiencing an extraordinary surge in funding activity. Despite an overall 42% year-on-year drop in startup funding in 2024, MENA's ecosystem proved resilient, securing $2.3 billion funding[3] last year, according to Wamda. The UAE led the region with $1.1 billion in funding across 207 startups, followed by Saudi Arabia ($700 million), Egypt ($334 million), and Oman ($41.5 million).

The fintech sector in MENA remained a dominant force in 2024, accounting for 30% of total investments and maintaining a trend that began in 2022.

The Middle East's fintech sector is accounting for 30% of total investments in 2024. Government initiatives, AI, and payments remain key drivers of growth. Fintech also topped the charts in deal count, raising $700 million across 119 startups. In Egypt and the UAE, it led in total funding, while in Saudi Arabia, software-as-a-service (SaaS) secured the largest share of investments, reflecting the kingdom's booming tech sector.

Investor interest varied by country. In the UAE., fintech ($265 million, 47 deals) led, followed by Web 3.0 ($255 million, 19 deals) and proptech ($197 million, 13 deals). In Saudi Arabia, SaaS attracted the highest funding at $177 million across 27 deals, followed by fintech with $171 million for 24 startups. Egypt's fintech sector secured $237 million for 17 deals, driven by a large, underserved market of 112 million people. The late 2024 launch of Apple Pay and Google Pay further accelerated digital payment adoption in the country.

Market data[4] from Wamda also shows that startups raised US$494 million through 58 deals



in February 2025 alone, marking a 371% month-on-month (MoM) growth in investment activity from January 2025. This remarkable figure represents a nearly fivefold increase compared to the investment amount secured in the same month of 2024[5]. In February 2024, startups in the MENA region had raised US$88.7 million across 37 deals.

The remarkable increase in investor backing is an indication of returning trust in both the region and the fintech industry, as the fintech sector secured US$274 million through 15 deals. It appears that fintech once again leads all sectors in regional investments, with later-stage deals gaining momentum. Insurtech followed in second place with US$55 million raised across two deals, while the logistics sector ranked third, attracting US$28.5 million through four deals.

The startups cater to a variety of needs, ranging from simplifying cross-border money transfers to facilitating cryptocurrency trading. They also create services within insurtech, online lending, regtech, digital banking, crowdfunding, and blockchain. However, much of the investment in the region is concentrated in some of the more active segments of the fintech sector, such as payments and remittances.

All these facts are sufficient to assert that the Middle East's fintech industry is entering a new age, propelled by technological advancements, national economic objectives, and a dynamic clientele.

GCC-Led Region

The MENA region is home to 450 million people, with about half of that total younger than 25 years old. Therefore, there is significant opportunity for the Middle East to establish itself as a mobile-first region in terms of banking, payments, and financial technology. Fintech companies have surged from 200 in 2022 to over 425[6] by the end of 2024. With investments exceeding SAR 4 billion (US$1 billion), annual revenues for MENA fintech companies are projected to reach US$3.5 to US$4.5 billion by 2025, based on data analysis from McKinsey Global Banking Pools.

The rapid growth of fintech in the Middle East is particularly evident in the Gulf Cooperation Council (GCC) states—Bahrain, Kuwait, Oman, Qatar, Saudi Arabia, UAE—and Egypt. The rise of fintech startups, the growth of the Islamic banking industry, and the increase in mobile subscriptions all significantly impact revenue growth in the GCC region. Additionally, we must not overlook the government-led initiatives and investments that contribute to this

transformation. Visionary GCC countries have embraced the era of digital transformation by setting ambitious goals to strategically diversify their national economies away from traditional Middle Eastern oil dependency and focus on the potential of digital services, while also promising high returns.

In summary, the Gulf region, where fintech innovation hubs have rapidly proliferated in recent years, is emerging as an oasis for the world's most innovative fintech companies.

Leaders of the Revolution

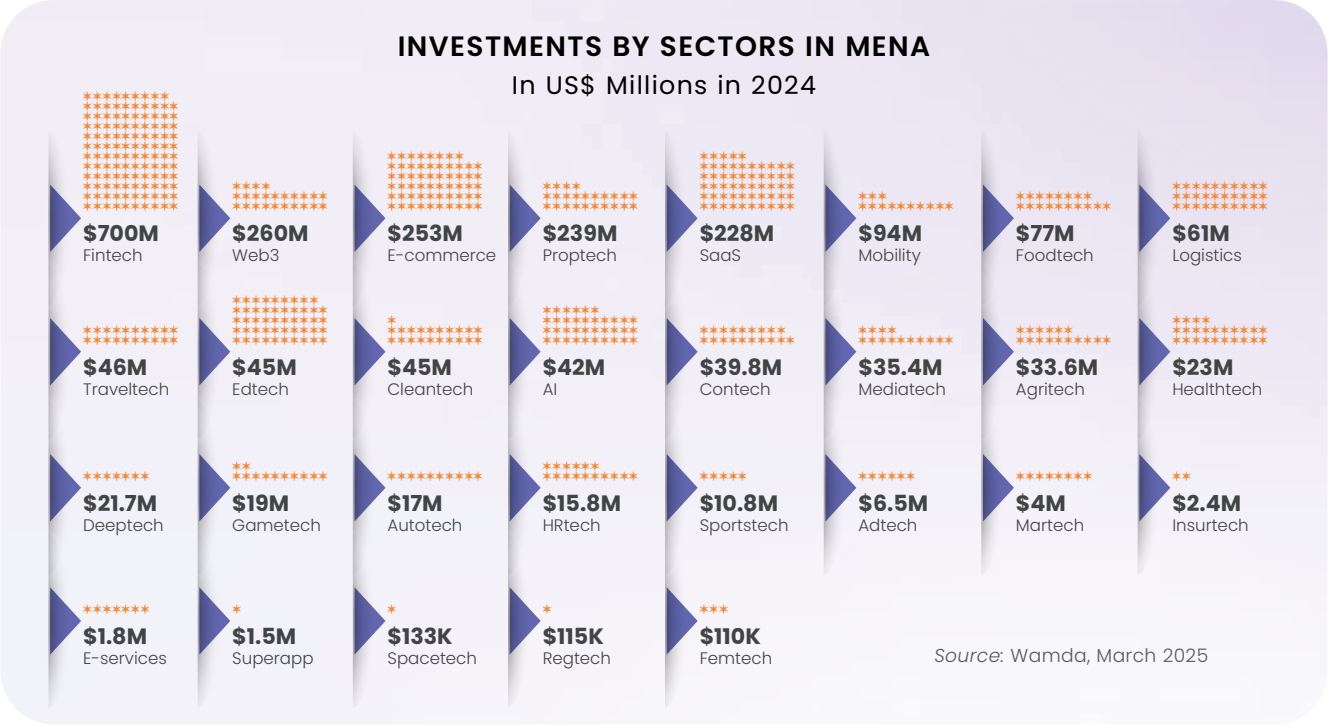
Last March, Forbes Middle East magazine unveiled its Fintech 50 ranking[7], recognising the region's leading players that are revolutionising the financial technology landscape in this underserved area, which includes digital payment companies, open banking platforms, and investment, saving, and lending apps. The 50 companies on this year's list have processed a total of over US$240 billion in transactions, securing more than US$3.8 billion in total funding.

Fintech companies in MENA have maintained their growth trajectory over the past year, with 119 fintech startups securing US$700 million in 2024, according to Wamda. This substantial investment represented 30% of the total funding for MENA startups during the year, highlighting strong investors' interest in the flourishing sectors.

The Forbes's list was constructed based on parameters such as external funding, money executed through digital channels, number of app downloads, active users, consumer impact, geographic presence, and success in innovation, growth, and expansion over the past year. Fintech operations owned by traditional banks, exchange houses, and governments were excluded from the list.

The 2025 list features fintech companies from 11 countries and includes 12 newcomers, such as the digital assets platform CoinMENA, the UAE's digital wallet platform Ziina, and Egypt's mobile payment app Sahl. This year, the UAE is the most represented country on the list, with 13 companies, followed by Egypt with 12 and Saudi Arabia with 10. The 50 companies on this year's list have processed over US$240 billion in transactions and secured more than US$3.8 billion in total funding.

Payment solutions and Buy-Now, Pay-Later (BNPL) platforms continued to be the most dynamic sector, with the Saudi-based shopping and financial services app, Tabby, securing US$160 million in a Series E funding round in February 2025. This increased its valuation to US$3.3 billion, making it the region's most valuable fintech startup and earning it the top position on our Fintech 50 list for 2025.



Egyptian e-payments and digital finance solutions company Fawry ranks second, supported by its 53.1 million customers, followed by Saudi fintech and insurtech company Rasan, which went public in 2024 on the Saudi Exchange (Tadawul), the Arab world's leading stock exchange, with its market cap reaching nearly US$1.68 billion as of March 27, 2025.

BNPL platforms have also gained traction, with notable players Tabby, Tamara, and MNT-Halan ranked among the top 10. These three fintechs reached unicorn status in 2023 after securing significant debt and equity funding. The BNPL model has become extremely popular among consumers due to its flexibility and ease of use. Companies like Tamara and Tabby have effectively tapped into this demand by providing seamless payment options at checkout.

The Middle East's fintech unicorns are the pioneers of the region. According to Entrepreneur Middle East[8], over 5,450 funding rounds have been allocated to payment and remittance fintech startups across the region, totalling over US$5.4 billion in investments over the years.

Although the valuations of MENA-based fintechs are much smaller than their Western counterparts, the region's first wave of unicorns have been fintechs.

Though the valuations of regional MENA fintechs are much smaller than their Western counterparts, it should be noted that many of the region's first wave of unicorns have been fintechs.

According to Entrepreneur Middle East, the UAE-born, Saudi Arabia-headquartered BNPL player Tabby, reached unicorn status at the end of 2023 when it raised US$200 million at a valuation of US$1.5 billion. Other fintech unicorns in the region include Turkey's Papara (US$1.5 billion), Egypt's MNT-Halan (over US$1 billion), and Saudi Arabia's Tamara (over US$1 billion). Additionally, many up-and-coming soonicorns are emerging in the region, including Geidea, Midas, PayTabs, and Sarwa, all making waves. Twenty-six MENA-based fintech startups have successfully raised over US$100 million, indicating a robust line-up of companies competing for unicorn status in the coming years.

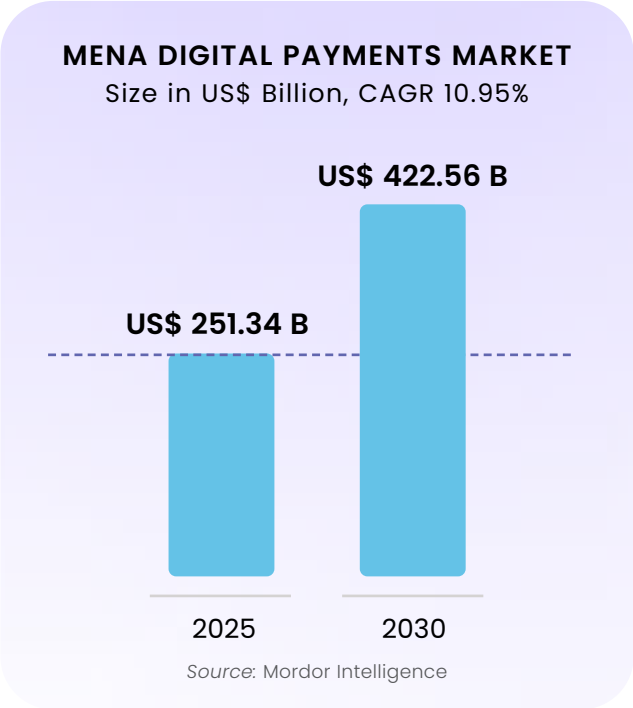
As IBS Intelligence states, "fintech is no longer just a complementary force; it's becoming central to the financial ecosystem."[9]

Key Factors Behind the Drive

As the Middle East embraces the dual trajectory of stability and transformation, it becomes evident that technology, sustainability, and collaboration will define the upcoming chapters of its financial narrative. Let's delve deeper into what shapes this transformation and explore the factors driving the rise of fintech activity in the region. Overall, the positive macroeconomic outlook for the region, alongside the consistently robust performance of its financial services industry, provides favourable conditions for the continued growth of the fintech sector. However, several key trends are fueling the fintech boom, including:

- *Large public/private funding:* One of the most critical strengths of the Middle Eastern fintech scene—especially in the Gulf states—is its strong government support. These states actively seek to diversify their economies from petrochemicals to other industries, including technology and finance. Fintech, in particular, is a major recipient of investment. The largest investors in these countries are sovereign funds, which are large state-owned investment funds actively seeking opportunities in fintech. According to a study by the Sovereign Wealth Fund Institute[10], the region's ten largest sovereign wealth funds collectively manage nearly US$4 trillion—an amount almost equivalent to the French economy. Furthermore, venture capitalists are gaining momentum across the region.

- *Digital Payments:* This is reshaping the future of finance across the region. Once dominated by cash, the Middle East is now embracing advanced fintech technology at an unprecedented pace. High levels of internet and smartphone penetration, a growing number of digital consumers, significant investments in digital infrastructure such as data centres and communication networks, along with government-led cashless initiatives, are creating favourable conditions for a shift from cash to digital payments. As a result, the payments ecosystem in MENA is witnessing remarkable growth, particularly in digital payment solutions. According to a Mordor Intelligence report[11], the digital payments market in the MENA (Middle East and North Africa) region is projected to be around US$251.34 billion in 2025 and is expected to reach US$422.56 billion by 2030, with a compound annual growth rate (CAGR) of 10.95% during the forecast period (2025-2030). This growth is driven by several factors, including increased smartphone penetration, a rise in e-commerce activities, and supportive government policies aimed at enhancing financial inclusion.



Although cash remains the dominant payment method, digital payments are projected to nearly match and surpass cards and cash in the MEA region by 2030. According to the 10th edition of the Global Payments Report[12] by Worldpay, they are expected to account for 47% of POS value and 65% of e-commerce transaction value.

- *Regulatory frameworks fostering innovation:* In recent years, governments across the Middle East have introduced comprehensive fintech regulations to support their fintech strategies. The UAE, Qatar, Saudi Arabia, and Egypt have all launched instant payment platforms, enhancing transaction speed. Additionally, some countries have issued Sandbox and Open Finance regulations to create a controlled environment for fintech startups and legacy institutions to test new products, services, and business models while ensuring compliance with consumer protection. These frameworks have driven innovation and growth, fostering an investor-friendly fintech ecosystem across the region.

- *Artificial Intelligence Investment:* Companies are leveraging Machine Learning (ML) for customer service, fraud detection, and prevention, unlocking new levels of financial service efficiency. Artificial Intelligence (AI) and ML are clearly revolutionising customer experiences. From detecting fraudulent transactions in real time to enhancing risk management strategies, AI is transforming the landscape of financial security. These technologies enable real-time data analysis and personalised financial recommendations, improving overall banking efficiency. GCC countries with similar ambitions, especially Saudi Arabia and the UAE, have joined the global race for AI dominance and are increasing investments

to build infrastructure and attract talent. AI was also one of the main themes of the recent Dubai Fintech Summit 2024, held in the UAE, with a special focus on digital transformation in the financial sector.

- *Open Banking:* The fintech boom is also driven by Open Banking, a financial services model poised to reshape the sector. It is believed that over 130 million users globally have adopted Open Banking, marking a fivefold increase in just four years. By providing third-party financial service providers with open access to consumer banking, transactions, and other financial data, innovative products and services are being unlocked. Open Banking, which relies on APIs (Application Programming Interfaces), enables more personalised customer experiences. Some countries are regulating the creation of an Open Finance framework that extends beyond existing Open Banking initiatives in European jurisdictions. For instance, the framework released as part of the UAE Central Bank's Open Finance agenda aims to offer customers more choice and control over their information by utilising their consented financial data while promoting competition among financial services and products. A new study from Juniper Research, an expert in fintech and payments markets, has found[13] that the number of Open Banking API calls globally will increase by 427%, rising from 137 billion in 2025. The same report noted that 2024 marked a significant year for Open Banking regulatory developments, with the launch of the Open Finance African Group Framework in key African markets, and Saudi Arabia moving forward with phase two of its Open Banking Framework.

Juniper Research identified the Middle East and Africa as a key developing market with high growth potential due to improvements in digital banking and the development of regulatory ecosystems.

As the Open Banking movement dominates the global fintech conversation, the Middle East is prepared to embrace this transformation, which will have a significant impact.

Let's explore this issue in more detail in the upcoming chapters.

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The Value Proposition of Open Banking

- What is Open Banking?
- Different Approaches to Open Banking
- From Open Banking to Open Data
- Benefits for Consumers & Businesses
- Global Market Size

02

What is Open Banking?

Open Banking is a regulated framework that allows banking customers to share their data with third parties, typically through standardised interfaces like Application Programming Interfaces (APIs), to reshape how customers manage and interact with their finances. It creates an ecosystem for the secure and efficient sharing of financial data, with customer consent among financial institutions, third-party providers (TPPs), and consumers. By utilising digital channels and APIs, Open Banking fosters a wave of digital financial innovation while enhancing competition and personalised services among banks, granting customers access to a wider range of financial solutions. As a ground-breaking financial technology, Open Banking can transform everything from bank accounts, credit cards, and payments to small business loans, mortgages, and insurance policies.

That's why financial innovations in the Open Banking ecosystem could enable robust non-bank companies (i.e., fintechs) to transform into significant players in the financial services sector.

In 2017, the UK's Competition and Markets Authority mandated that the nine largest banks in the UK, known as the CMA9, collaborate to facilitate the secure sharing of consumers' banking data with trusted third parties. The following year, Europe adopted a similar approach with the revised Payment Services Directive (PSD2), which obligated all banks to provide open access to customer financial data. Since its inception in 2018, Open Banking has gained global recognition. Many countries have embraced Open Banking solutions to transform the financial industry, offering customers more choice, control, and flexibility in financial services, while facilitating frictionless and secure payment processes.

Open Banking relies on APIs, a set of rules and guidelines that dictate how different software components communicate with each other. These APIs enable communication between programs and have been valuable in assisting developers in their interactions with payment networks.

Today, data sharing with third parties could take the form of millions of API calls from various channels and thousands of consumer devices. With enhanced layers of protection, sophisticated consent management flows, and dashboards, today's Open Banking APIs represent some of the most secure enterprise use cases for APIs worldwide.

OPEN BANKING APIs

Type of APIs	Use Cases You Can Build
Account & Product Information APIs	• Aggregation & Comparison • Lending & Credit Scoring • Debt Advice & Restructuring • KYC & Verification
Payment Initiation APIs	• Payment Request Initiation • Refunds or Payment Reversals
Premium APIs	• Personal Financial Management • SME Financial Management • Business Invoicing & Payments • Advanced Lending & Credit Scoring • Advanced KYC & Verification • Loyalty & Rewards

Different Approaches to Open Banking

Open Banking is emerging worldwide, with countries choosing different approaches. Initiatives can be either market-driven or regulatory-driven, and the optimal approach depends on the region and its financial framework.

- *Regulation-driven:* This model is characterised by predefined rules and standards that ensure a uniform approach to data sharing and customer protection. Regulations and implementations in this model require financial service providers to comply with specific mandates and standards. With a clear indication of a legal obligation to share certain financial data, this model has been successfully implemented in regions such as the UK and the EU. Türkiye adopted this regulatory-driven model, becoming one of the early pioneers in Open Banking.

- *Market-driven:* In this model, Open Banking is led by market players. The private sector responds to competitive pressures, as seen in the US and China. While this encourages rapid innovation and new services, it can also result in inconsistencies in data handling and varying levels of security and protection. This model lacks a formal regulatory framework, and existing policies fall short of mandating full data sharing.

- *Hybrid:* Regulatory guidance and facilitative infrastructure for Open Banking, alongside industry initiatives. Collaboration between regulators and the market is encouraged without a formal mandate. A few countries adopt a hybrid approach, blending innovation with standardisation without requiring mandatory participation from financial institutions.

From Open Banking to Open Data

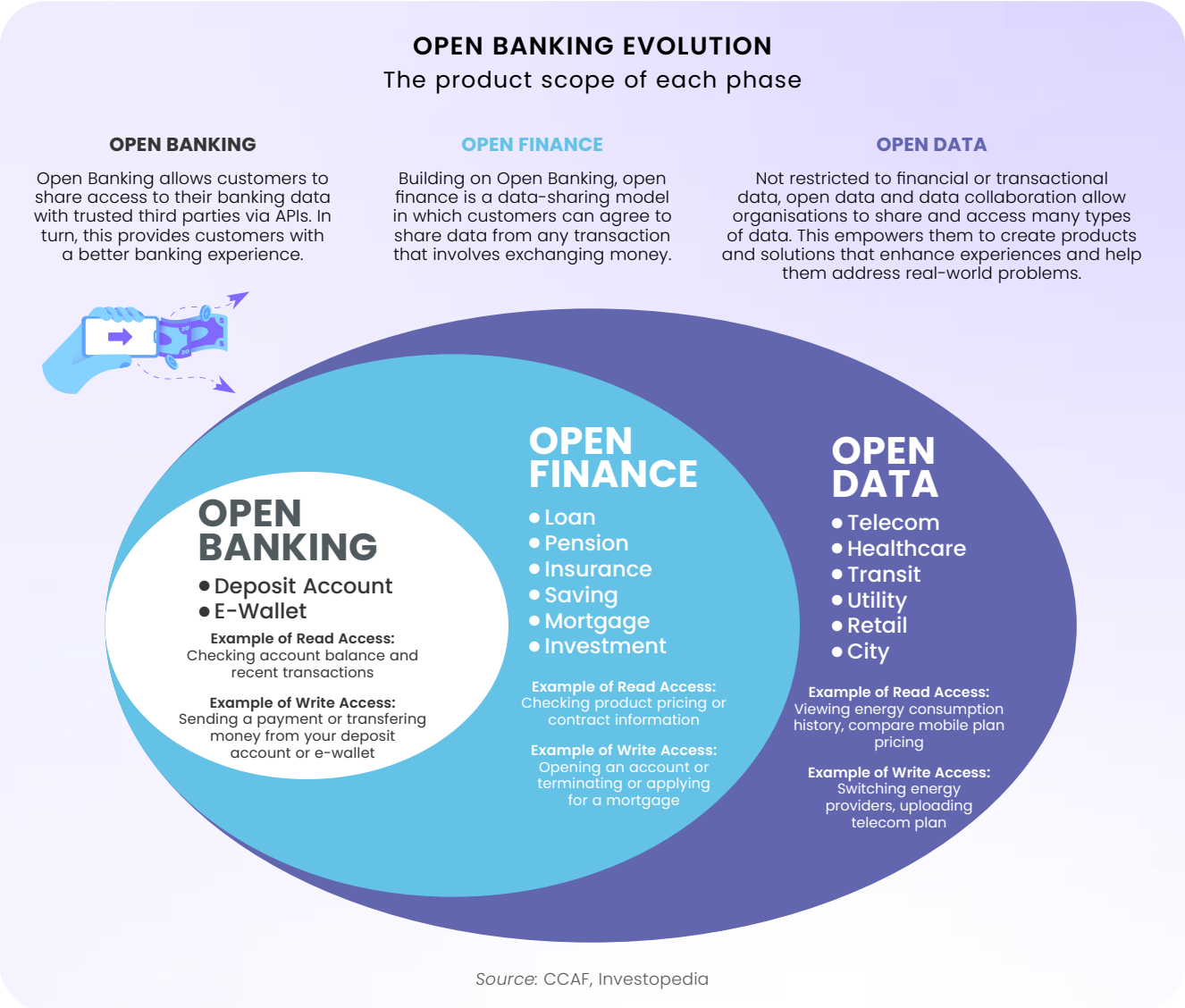
Today, in many parts of the world, regulators mandate Open Banking to break the monopoly on financial data held by larger banks. The policy argument is that by encouraging competition and innovation in the banking industry, which is often resistant to change and slow to adopt technology, it is possible to boost economic activity and social benefits. Crucially, by combining, releasing, and granting individuals control over their financial data, Open Banking is expected to enhance financial inclusion in both established and emerging nations, enabling underprivileged and unbanked segments of society to access a wider range of financial services.

Building on Open Banking, Open Finance is a data-sharing model in which customers can agree to share data from any transaction that involves exchanging money.

In fact, Open Banking acts as a test bed for the broader application of open data. The UK's Financial Conduct Authority (FCA) is actively exploring Open Banking-type legislation to encompass sectors such as insurance, making "open finance" widely accepted. The Open Banking policy in the EU is already part of an economy-wide movement, and open data will be introduced into a growing number of industries, such as telecommunication and energy. The UK follows suit with its "Smart Data" initiative, while the EU and the US are also looking into more data portability regulations. This will pave the way for the model to expand in sectors such as energy, enabling customers to compare utility prices, find better deals, and reduce their energy consumption. It will also foster technological innovation and enhance competitiveness, ultimately strengthening the economy. In this context, Open Banking can be accurately regarded as a predictor of the open data economy.

How each financial institution reacts to the opportunity presented by Open Banking while addressing challenges such as legacy technology, implementation and maintenance costs, engineering talent, and securing genuine internal alignment will shape its position within this expansive ecosystem.

Open Banking primarily concentrates on sharing payment data from bank accounts,



Source: CCAF, Investopedia

while Open Finance broadens this scope by incorporating a wider variety of financial data, including income from non-bank sources such as STC Pay, cash flow investments, mortgages, loans, and insurance. This increased accessibility to financial data fosters a more competitive market, resulting in improved financial products and services for consumers, as well as micro, small, and medium-sized enterprises (MSMEs).

In summary, Open Banking initiatives are merely a small part of the broader open data economy. While Open Banking focuses on customers requesting banks and payment companies to securely share their bank account data in a standardised manner, Open Finance broadens that scope. Through the convergence of innovation, data, technology, and consumer rights, Open Data emerges as an inevitable outcome.

So, fintech companies aiming to seize future opportunities should select partners, take initiative, and create services aligned with the evolutionary roadmap of Open Banking.

Benefits for Consumers & Businesses

Open Banking is revolutionising the financial industry, offering customers greater choice, control, and flexibility in financial services. Traditionally, only banks kept track of much of what we spend, save, and borrow—from utility bills and mortgage payments to our weekly spending on fuel and leisure. Traditional banks have always been quite conservative due to the exclusive access they had to their customers' financial data, from which they profited. In Open Banking, the opportunities arise from the vast amounts of data held by financial institutions, most of which is stored rather than used to drive innovation. Consequently, government regulations and market forces worldwide over the past several years have required that some customer data be shared with third parties.

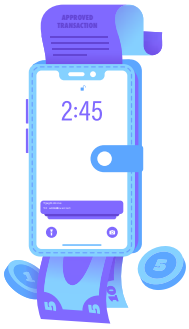
This global movement, known as "open financial data," allows a growing ecosystem of both financial and non-financial players to access customer accounts and data in order to offer new products and services.

Access to open financial data could enhance the capacity of powerful non-bank companies to enter the financial services sector. Fintechs are not the only beneficiaries. Consumers and businesses believe that Open Banking will enhance their banking experience. Almost all research studies highlight the three primary benefits of Open Banking that consumers and small businesses value.

- *Firstly,* the aggregation of all customers' financial information in one easy-to-manage place is arguably the most appealing use case. It will provide customers with a better understanding of their complete financial picture, along with increased control and security over their financial data.

- *Secondly,* it will lead to a better experience and personalised banking. Rather than relying on the bank for services like payments, Open Banking provides consumers the convenience of integrating financial activities into their daily lives. This not only means expanded distribution points for financial services but also simplified payments and transfers.

- *Thirdly,* Open Banking means maximising customers' financial resources. Consumers are attracted to solutions that provide them with informative tools they can act upon. Thanks to innovative personal finance management tools and automated advisory services that use analytics and algorithms to offer guidance and personalised recommendations on investment products, consumers can find the best deals on mortgages, loans, credit cards, and non-banking products like insurance and utility services.



Global Market Size

The significance of open banking to the global financial industry is substantial. Its growth is such that there is a projected 130 million users[1] of open banking worldwide in 2024, more than five times the number in 2020. According to Grand View Research, the global Open Banking market size was valued at US$ 25.14 billion[2] in 2023 and is expected to grow at a CAGR

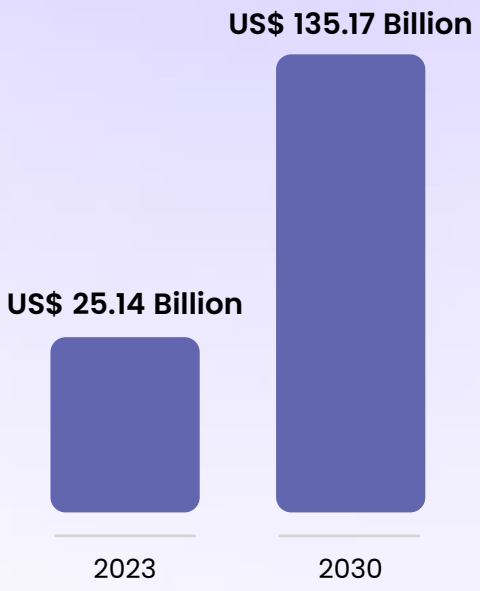
of 27.4% from 2024 to 2030. The global Open Banking market size in 2024 is projected to reach US$ 31.61 billion, with further estimates predicting it will reach US$ 135.17 billion by 2030.

The banking and capital markets segment, generating US$ 11,483.8 million in 2023, represented 45.6% of global revenue and dominated the market. Payments are the most lucrative services segment, experiencing the fastest growth during the forecast period.

In terms of region, Europe was the largest revenue-generating market in 2023, with a 36.9% share. The growth in Europe can be attributed to the increasing demand for enhanced online payment security. Another factor driving market expansion in Europe is the government's directives urging banking firms to open APIs. Numerous prominent players in the region are also expected to contribute to the growth of the European market.

Germany is projected to exhibit the highest CAGR from 2024 to 2030 among the European countries.

GLOBAL OPEN BANKING MARKET
Forecast to expand at a CAGR of 27.4%



Source: Grand View Research, 2024

1 *"Number of Open Banking Users Worldwide," Statista Research Department, 2023 - https://www.statista.com/statistics/1228771/open-banking-users-worldwide/*

2 *"Open Banking Market Size, Share & Trends Analysis Report, 2024 – 2030," Grand View Research, 2024 - https://www.grandviewresearch.com/industry-analysis/open-banking-systems-market*

Open Banking in MENA's Financial Landscape

- Transforming the Landscape
- Market Size & Outlook
- Effective Use Cases
- Saudi Arabia Case
- Seven Trends to Keep an Eye on
- Key Nations in Transformation

03

Transforming the Landscape

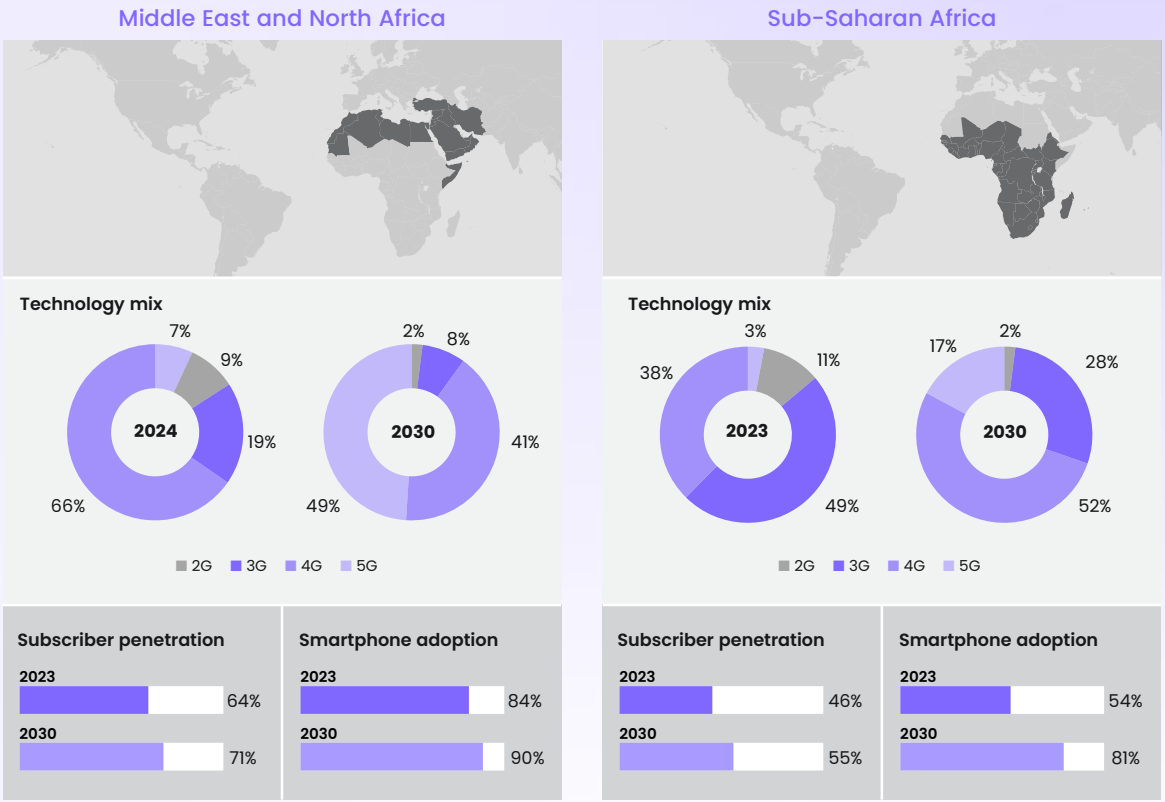
Since its launch in 2018, primarily in the UK and Europe, Open Banking has emerged as a global phenomenon. The Middle East, known for its traditionally robust banking system, has followed suit and accelerated this trend, with countries actively working to enhance their positions as global fintech hubs. The region has embraced the adoption of Open Banking frameworks and Application Programming Interfaces (APIs) by fintechs.

The adoption was driven by various factors. Mobile connectivity remains essential for fostering digital innovation in Open Banking. It empowers individuals and enterprises with a wide range of transformative technologies while assisting governments in delivering positive societal outcomes impacts. By the end of 2024, 5.8 billion[1] people (71% of the global population) are subscribed to a mobile service. According to recent GSMA data, growth in mobile internet penetration has also been encouraging. At the end of 2024, 58% of the world's population used mobile internet, amounting to 4.7 billion users – an increase of 2.2 billion since 2015. By 2030, that number is anticipated to grow to 5.5 billion, achieving a penetration rate of 64%.

The Middle East and North Africa (MENA), on the other hand, boasts one of the world's highest rates of mobile, internet, and smartphone penetration and is home to a young, educated, and growing population. One-third of the population is under 30, and the number of unique mobile subscribers reached 427 million[2] in 2023; data from the GSM Association, a non-profit industry organisation representing mobile network operators worldwide, underscore a 64% subscriber penetration rate. By 2030, this number is projected to increase to 517 million and achieve a penetration rate of 71%.

MOBILE PENETRATION (2024-2030)

Subscriber and technology trends for MENA & SSA

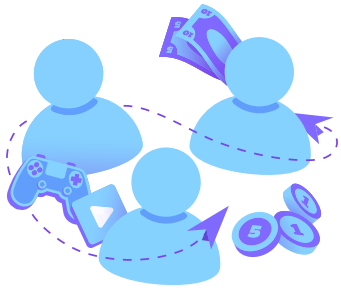


Source: "The Mobile Economy 2025," GSMA Intelligence, 2025

Smartphone adoption in MENA reached 84%[3] in 2023. By 2030, it is projected to reach 90% (percentage of total connections excluding licensed cellular IoT), just below the global average of 91%. In summary, Open Banking has the potential to significantly transform the financial services sector in the MENA region.

With an 88% mobile subscriber penetration, Europe has inspired Middle Eastern regulators from the outset to take a leadership role in Open Banking innovation across the region. In recent years, this inspiration has resulted in the development of compelling roadmaps that are transforming the financial landscape of the Middle East into a strong framework that encourages innovation, competition, and efficiency. This evolution not only presents an opportunity to boost economic activity but also provides a chance to tackle the financial exclusion affecting 300 million people over the age of 15 who are underserved by the current banking system and lack a financial account in the MENA region.

Looking ahead, MENA's fintech funding and investments are projected to reach US$2.4 billion[4] by 2029, with the UAE, Saudi Arabia, Bahrain, and Egypt at the forefront, according to Research and Markets. Reports indicate that the fastest-growing fintech segments include payments, BNPL and installments, AI, Web3, stablecoins, central bank digital currencies (CBDCs), crypto, and Open Banking.



Although Open Banking in the Middle East is still in the relatively early stages of implementation, the region's adoption of mobile technologies offers significant potential for digital financial products. This advantage is being harnessed to foster innovation, boost competition, and safeguard customers in a changing financial landscape.

Another crucial element of Open Banking is trust. A high level of trust in financial services companies usually stems from robust market performance, fee reductions, technology-enabled transparency, improved market access, and innovative personalised products.

A survey[5] conducted by Statista indicates that the Middle East stands as a beacon of trust in the financial sector. The study found that among over 75,000 consumers across 32 nations, the Kingdom of Saudi Arabia (KSA), Qatar, and the United Arab Emirates (UAE) ranked fifth, seventh, and tenth as the most trustworthy regions in this sector, respectively. These rankings emphasise the genuine belief customers in these countries have in their financial institutions and the strong relationships that banks have developed with their clientele over the years. Consequently, trust emerges as an invaluable asset for the region on its path to open finance.

Fintech investments are projected to grow to US$2.4 billion by 2029, with the UAE, Saudi Arabia, Bahrain, and Egypt leading the way.

Leadership commitment is another key factor driving Open Banking. Economic powerhouses in the Gulf Cooperation Council (GCC), such as Saudi Arabia, the United Arab Emirates, and Bahrain, have swiftly integrated Open Banking into their visionary economic programs. Consequently, a region traditionally dominated by mobile payments, money transfers, and remittances appears promising in the Open Banking sector. However, only 17%[6] of consumers in the Middle East engage in digital banking, compared to nearly 60% in the United States.

With its growing fintech sector, tech-savvy youth, widespread smartphone usage, and the leadership's economic vision, the region is well-positioned to leapfrog global markets in Open Banking. Furthermore, recent announcements from countries in the region regarding their Open Banking frameworks are viewed as significant steps toward a more favourable regulatory climate. A strengthened regulatory environment has attracted greater investment and innovation in digital finance to MENA, allowing many local fintech companies to broaden their presence across the region and beyond while still prioritising profitability.

Thanks to regulatory frameworks that enhance competition, promote financial inclusion, and empower consumers to seek greater control and transparency, the financial landscape in the Middle East has undergone significant transformation in recent years. With increased dedication and cooperation, the coming years could be a breakout period for Open Banking in the region, marked by imminent and foreseeable progress on the horizon and a growing interest in diversification.

Market Size & Outlook

A Fintech Galaxy report[7] forecasted that the MENA Open Banking market is expected to grow at a CAGR of 25% between 2022 and 2027, rising from an estimated US$400 million in 2022 to US$1.17 billion in 2027. Increased strategic initiatives by prominent companies in the market are expected to drive growth during the forecast period.

In terms of segments, banking and capital markets were the top revenue-generating services in 2023. Payments emerged as the most profitable service segment, experiencing the fastest growth throughout the forecast period.

The Middle East and Africa (MEA) Open Banking market generated revenue of US$1,793.7 million[8] in 2023. It is projected to grow at a CAGR of 28.1% from 2024 to 2030, reaching an anticipated revenue of US$10,163.7 million by 2030. When comparing the Open Banking strategies of Middle Eastern countries to the European ecosystem, which serves as inspiration for our region, we can assert that MENA is more ambitious from a regulatory perspective. In other words, the region has examined the forerunners at the beginning of its Open Banking journey to avoid repeating past mistakes and has even made improvements in certain areas.

Some countries in the region today are not restricting their frameworks to payment accounts alone. Instead, they aim to make consumer data more accessible across a broader spectrum of financial products and services. These countries have already started to embrace Open Finance, which goes far beyond Open Banking, and are crafting strategies that go beyond mere regulatory compliance.

Effective Use Cases

There are numerous use cases for Open Banking in the Middle East, with more continually emerging. Here are some relevant examples[9], as recommended by the Arab Regional Fintech Working Group (WG),

established by the Council of Arab Central Banks and Monetary Authorities Governors:

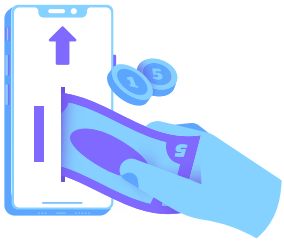
- *Account aggregation:* Offers real-time personal financial management, facilitates account-to-account money transfers through payment initiation services, supports SMEs in financial management, and grants access to transaction data from various financial sources.

- *Credit scoring services:* APIs for assessing credit and risk for both retail and corporate clients, utilising account data acquired through data-sharing agreements.

- *Customer onboarding:* Speeds up the remote onboarding process for customers, making it more systematic and automated, while streamlining the account verification, income verification, and TPP verification processes.

- *Lending:* Automating the collection of bank statements uncovers borrowers' actual financial situations, resulting in higher conversion and approval rates for customers with good credit scores.

- *Personal Financial Management (PFM):* Open Banking-based PFMs provide real-time insights into customers' financial situations by aggregating data from multiple accounts and banks.



- *ROSCA:* Elevates the concept of Rotating Savings and Credit Associations (ROSCA) through Open Banking, assisting users in achieving their financial goals more quickly and improving personal well-being.

- *Digital identity verification:* Facilitates Digital ID verification by improving Open Banking principles, enabling customers to share identity attributes with authorised TPPs.

- *Account-to-account payments for large purchases:* Enable TPPs to initiate payments from a bank account on behalf of the consumer, minimising extra costs incurred by the merchant, bank, and consumer.

- *Robo advisory:* It uses algorithms to automatically gather data from existing accounts and transforms it into financial planning with minimal human involvement.

- *Integrated accounting software:* Optimises the consolidation of financial data into real-time insights, increasing revenue and reducing costs.

- *Eliminating cash:* Solutions powered by Open Banking facilitate the shift to a paperless world, enabling digital payments.

- *BNPL:* Open Banking revolutionises the concept of Buy Now Pay Later (BNPL), enabling consumers to postpone payments.

Seven Trends to Keep An Eye On

The growth of the regional Open Banking market is particularly supported by factors such as accelerated digital financial transformation and a young, digitally native population. Furthermore, Open Finance is expected to play a crucial role in enhancing financial inclusion in the region, with projections indicating nearly double the growth by 2027. Here are some significant trends to monitor in the coming years to boost the adoption of Open Banking.

- *Regulatory Expansion:* The Middle East is experiencing rapid fintech growth. This boom is being driven by Open Banking, a model poised to reshape the financial sector. Countries in the region, including Saudi Arabia, the UAE, Bahrain, and Egypt, have made significant strides in establishing frameworks that foster innovation and financial inclusion within open banking for financial services. We anticipate that more MENA nations will follow their lead and actively promote effective implementation instead of merely focusing on policy-making. This involves standardised APIs and enhanced data security. Furthermore, it will facilitate cross-sector partnerships that encourage innovation, promote competition, and safeguard customers. Since the success of open banking largely depends on regulatory frameworks, regulatory bodies will play a crucial role in ensuring that banks and third-party providers adhere to the necessary standards. One critical area for regulators is third-party providers (TPPs), where they can ensure a standardised registration and licencing process. Another focus is on APIs, where regulatory bodies can collaborate

with industries to guide the development of essential APIs, set standards, and create uniform key performance indicators governing API performance.

- *Personalised Offers:* Open Banking enables financial service providers to tailor offers for individual financial products instead of targeting entire customer categories. Personalisation in financial products is poised to rise. This will help customers access better-suited financial solutions and incentivise banks to become more customer-centric. Personalised open banking enhances the Open Banking concept by incorporating individual customer experiences and specific historical data.

Banks and fintechs can utilise consumer data to develop personalised products such as dynamic loans and customised savings plans, thanks to Open Banking. By leveraging personalised customer insights through Open Banking, companies will enhance consumer engagement and trust, while also boosting confidence in lending decisions and increasing product upselling rates. Lenders will no longer rely solely on credit scores to assess a borrower's creditworthiness. As Open Banking solutions improve the transparency and accessibility of financial data, credit will become more available to everyone, democratising financial services- a significant development for the Middle East, where millions of financially underserved people reside.

- *Role of AI:* As mentioned earlier, Open Banking is accelerating the evolution of customised financial planning. However, the revolution in financial management will truly take hold when we integrate artificial intelligence (AI) with Open Banking capabilities. As technology advances and interconnectivity improves, so do the threats to customer data. AI is poised to mitigate fraud-related risks and protect critical cybersecurity infrastructure. AI-powered tools allow banks to further personalise customer experiences and offer tailored products based on behavioural insights. AI technology will continue to evolve, using chatbots to create conversational financial assistants powered by GenAI that can address financial questions, help with budget management, and suggest investment recommendations to consumers. Ultimately, these advancements will enhance customer service, while predictive analytics will enable financial institutions to implement more effective lending and investment strategies.

- *Empowering Small Businesses:* The benefits of Open Banking will extend to small and medium-sized enterprises (SMEs) and retailers in the Middle East. Open Banking can assist by providing improved access to financial services and offering an alternative method for SMEs to receive payments without relying on merchant acquisition services. Real-time financial information, streamlined payment processing, and enhanced credit availability will help businesses scale their operations more efficiently. We can expect embedded financing, automatic reconciliation, and digital invoicing to become standard in business banking.

- *Partnerships to Extend Reach:* Engaging in collaborative discussions is crucial for everyone in the Middle East today. As Open Banking transforms traditional players' markets through regulation and initiatives, banks and

third-party providers (TPPs) must accelerate their partnership efforts. This collaboration between conventional financial institutions and nimble fintech startups facilitates solutions such as real-time payments, improved credit assessments, and tailored financial products. For banks, this means innovating products and services while broadening their reach within the partner network.

- *Interoperability:* Standardised data formats and APIs simplify data sharing and integration among various financial institutions and service providers. As Open Banking in MENA nations progresses, regulators and financial institutions will concentrate on achieving seamless interoperability between systems. This interoperability allows customers to access a wide range of financial products and services from different providers, enhancing both choice and competition. Meanwhile, robust cybersecurity measures will ensure compliance and build customer trust, while secure and standardised APIs will facilitate more efficient cross-border transactions and data sharing. Real-time fraud detection, along with advanced biometric authentication, is anticipated to become standard in the industry.

Open Banking is still largely in its infancy in the Middle East. However, some countries stand out: among the leaders is Bahrain, whose regulation began its Open Banking journey in 2018.

Key Nations in Transformation

Regardless of its growth method, Open Banking is well-established in many regions. However, this is less true in the Middle East, where it remains largely in its infancy. In recent years, Open Banking has gained momentum across numerous MENA countries, becoming a fundamental part of the digitalization of financial services, driven by a strong affinity for technology and a commitment to innovation. Now, let's explore the MENA countries that have made significant strides in Open Banking and are ready to lead trends in the coming years:

Open Finance Journey of the Emirates:

The United Arab Emirates is actively pursuing technology innovation within the MENA region. With a focus on Open Banking and Open Finance, the UAE is working towards integrating financial services with technology, fostering collaboration across various sectors, including banking, real estate and government, to develop a more connected digital economy.

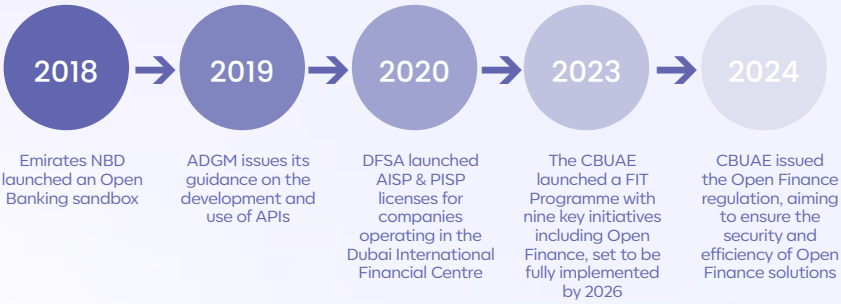
The UAE's strategy aims to drive innovation by fostering a collaborative, secure and customer-centric digital ecosystem. The Central Bank of UAE (CBUAE) is the leading authority that mandates all financial institutions supervised by the CBUAE to participate in the Open Finance framework. Regulators such as the Dubai Financial Services Authority (DFSA) and Abu Dhabi Global Market (ADGM) have made statements in support of Open Banking and Open Finance, which will stimulate financial services and, eventually, enhance the economy.

Both the Open Banking and Open Finance regulations were passed and went live in 2024. This swift implementation reflects the UAE's proactive stance in integrating and regulating advanced financial technologies. Participation in the UAE's Open Finance framework is mandatory for a wide range of financial entities, including banks, insurance companies, payment service providers and other licensed institutions. These entities act as data holders, required to share customer data securely and allow TPPs to initiate transactions, fostering a more competitive and innovative financial ecosystem.

API Design: The UAE's Open Finance framework features a centralised API Hub that standardises data sharing across financial institutions. This API structure supports secure and interoperable data exchange, with robust encryption

UAE: Emirates NBD Bank launched its API Sandbox in 2018, becoming the first bank in the UAE to enable Open Banking collaboration. In 2023, the Central Bank of the UAE (CBUAE) introduced the Financial Infrastructure Transformation (FIT) Programme, aiming to accelerate digital transformation in financial services through nine key initiatives. The FIT Programme targets full integration by 2026. As part of this initiative, the CBUAE also began its open finance initiative, which encompasses banks and insurers, and announced its initial standards last year. A multi-faceted fintech action plan is reported to be 85% complete[10] as of January 2025. The UAE Fintech Report 2024[11] identifies 329 active fintech companies in the UAE, reflecting a 128.5% increase from the 144 companies listed in the previous map, which dates back to 2011.

The UAE Case*



and authentication protocols. The CBUAE has set stringent technical standards to ensure that APIs facilitate seamless integration while maintaining high levels of cybersecurity and data protection.

Data Types: All data types are permitted and operational under the new regulations, except for pensions, which are not yet included. The comprehensive approach ensures that a wide range of financial data can be shared and utilised, enhancing the scope and effectiveness of the Open Finance ecosystem.

Future Developments: Open Finance services in the UAE will require a license, including data sharing and service initiation. The Regulation requires that all financial institutions overseen by the CBUAE must participate in the Open Finance framework for both their products and services. Notably, unlike many other jurisdictions, "Open Insurance" along with "Open Banking" is included in the UAE's Open Finance Framework. A regulatory sandbox will also be developed to allow for continued experimentation, including in Open Finance, and will be governed by the CBUAE's new Sandbox Regulations, also issued in April 2024 along with these regulations.

* *"The Global State of Open Banking and Open Finance Report," Cambridge Centre for Alternative Finance, University of Cambridge, pp. 65-67, 2024 - www.ccaf.io*

Bahrain: Open Banking is still largely in its infancy in the Middle East. However, some countries stand out; among the leaders is Bahrain, whose regulator began its Open Banking journey in 2018 and issued a Bahrain Open Banking framework in 2020. As a pioneer in the open banking movement, Bahrain has taken the lead in payment initiation with an established open banking framework and active retail payment systems such as Fawri+, Fataweer, and BenefitPay.

Saudi Arabia: Inspired by the UK, the Saudi Central Bank (SAMA) published its inaugural Open Banking Framework in November 2022. This framework mandates that banks make their account information APIs available. The initial focus was on account information services (AIS), which centred on enabling the secure sharing of banking data. To attract foreign fintech companies to Saudi Arabia's market, SAMA launched its "Open Banking Lab" – a technical testing environment- in January 2023. Throughout 2023, the Kingdom's 11 major banks made their APIs accessible, and several third-party providers have since connected to these systems, receiving approval from SAMA to commence operations. In September 2024, SAMA also released the standards and rules for payment initiation services (PIS), allowing consumers to transfer funds and make payments directly from their bank accounts. By 2030, Saudi Arabia's fintech sector is projected to contribute approximately 13 billion SAR[12] to GDP and create 18,200 direct jobs.

Egypt: Having experienced a remarkable 5.5-fold increase in fintech entities, Egypt is now home to a vibrant ecosystem of over 177 startups and Payment Service Providers (PSPs) actively shaping the local financial technology sector. The Egyptian government's fintech strategy, aligned with Egypt Vision 2030, aims to encourage innovation and foster a robust digital economy, with Open Banking serving as a cornerstone for achieving financial inclusion and empowering SMEs. The Central

Bank of Egypt (CBE) is actively exploring frameworks to promote the adoption of open banking, recognising its potential to enhance financial inclusion and stimulate competition among financial service providers. The country passed Law No. 194[13] on the CBE and the Banking System, which took effect on 16 September 2020, establishing a comprehensive legal framework for the development of financial technologies, including the introduction of digital payments and e-wallets. The law also allows the CBE to issue licenses to fintech companies.

Morocco: Although Open Banking in Morocco is still in its early stages and lacks a formal regulatory framework, advancements in digital payments and consumer adoption of mobile wallets have captured the attention of the country's regulators. The primary regulatory body, the Central Bank (Bank Al-Maghrib -BAM), is actively working to regulate the fintech sector, particularly in the areas of digital and mobile payments. Law No. 103-12[14] governs the activities of banks and credit institutions, outlining licensing requirements, supervision of fintech companies, and prudential regulations to ensure transaction

TPAY Türkiye emerged as one of the first Open Banking licensees in the country for both services: payment initiation service provider (PISP) and account information service provider (AISP).

security. While BAM has not yet established specific Open Banking regulations, its policies are evolving toward a more open financial system.

Türkiye: In December 2022, the Central Bank of the Republic of Türkiye (CBRT) launched the country's Open Banking Gateway infrastructure, enabling third parties to perform Open Banking transactions. Six banks, having successfully completed testing and technical certification procedures, began offering services through the CBRT's Open Banking Gateway infrastructure. The CBRT-mandated Open Banking regulations categorise and recognise the products of payment initiation service providers (PISP) and account information service providers (AISP) as payment services. TPAY Türkiye emerged as one of the earliest licensees of both services in the country.

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14 *"Legal Framework of Payment Systems and Means," Bank Al-Maghrib web site - https://www.bkam.ma/en/Find-information-about/Regulation/Legal-framework-of-payment-systems-and-means*

Fintech Challenges for Open Banking

- Challenges for Fintechs
- Challenges for Banks
- Other Driving Factors
- Conclusion

04

Challenges for Fintechs

With a population nearing 500 million and projected to exceed 700 million by 2050, the Middle East holds immense potential for fintech growth. The market is experiencing rapid expansion, driven by the significant shift towards cashless transactions, as demand for convenient, secure, and innovative solutions continues to rise.

The Arab World's fintech sector is estimated to be worth at least US$15 billion[1]. Similarly, in Türkiye, the industry is valued at a minimum of US$15 billion, growing annually by approximately 14%. Sub-Saharan Africa (SSA) benefits from fintech contributing $150 billion to its gross domestic product (GDP), while Israel's fintech sector accounts for around 11% of its GDP.

Despite the challenges facing the global economy, which are felt throughout the Middle East, the fintech sector continues to play a crucial role in the region's economic growth and development. Some countries are positioned to lead the next wave of fintech growth in MENA. Overall, the outlook for Open Finance appears strong, fostering financial inclusion and creating a more dynamic and competitive financial ecosystem across the region. Its growth is set to bridge the gap between traditional and digital finance, ensuring that every citizen has an equal opportunity to access credit, payments, and financial services.

However, while Open Banking and Open Finance frameworks hold transformative potential, they also pose significant challenges that require ongoing attention for successful implementation. These challenges could influence their impact. Here are some obstacles that fintechs adopting Open Banking should monitor:

1. *Fragmented Landscape:* One of the most significant barriers facing fintech in the Middle East is its fragmented regulatory environment. Each MENA country has unique open banking policies that complicate cross-border cooperation. Fragmented systems across markets also create friction in cross-border interoperability, increasing operational complexity and hampering collaboration among fintech companies. For example, a fintech company licensed in the UAE must undergo a separate licensing process in Saudi Arabia to access that consumer base, despite both being members of the GCC. This situation forces companies to navigate varying compliance standards. Regulatory fragmentation not only poses challenges

NUMBER OF FINTECH COMPANIES

Top 10 Countries in the Region, 2024

Top Ten Countries with the Most Fintechs		
RANKING	COUNTRY	NUMBER OF FINTECH
1	Türkiye	739
2	UAE	686
3	Israel	550
4	Nigeria	250
5	South Africa	200
6	Saudi Arabia	200
7	Egypt	177
8	Kenya	150
9	Bahrain	120
10	Qatar	105

Top Ten Countries with the Most Startups		
RANKING	COUNTRY	NUMBER OF STARTUPS
1	Israel	9,000
2	UAE	5,641
3	Nigeria	3,360
4	Türkiye	2,500
5	Egypt	2,112
6	Lebanon	2,000
7	Saudi Arabia	1,600
8	Algeria	800
9	Tanzania	673
10	South Africa	660

Source: Richie Santoz Dias and The Fintech Times, 2024

for fintech startups but also limits the total addressable market for digital financial services in each country, thereby slowing down the region's overall fintech adoption. Improvements in regional digital integration and more concrete regulatory alignment are necessary to facilitate fintech expansion and boost innovation potential. Therefore, maintaining compliance and harmonising policies across countries remains a difficult task.

Regulators play a crucial role in ensuring that banks and third-party providers adhere to the necessary standards for API development and performance metrics. However, MENA nations must also balance regulatory reforms with market-driven approaches to embrace the challenges more effectively and fully capitalise on their economic potential. The strategic actions taken by MENA could establish new standards for security, interoperability, and customised customer service.

2. *Monetization Modelling:* Open Banking refers to the use of APIs to share financial data and services with third parties. However, many organisations struggle to effectively monetise and utilise the shared financial data and services. By investing in the right business models with distinct value propositions and suitable pricing schemes, the Middle East can unlock the full potential of its fintech sector and enhance its position as a global fintech hub. To ensure long-term growth, fintechs companies should not only comply but also thoughtfully evaluate their monetisation strategies, including API management, microservices architecture, and composability, which are crucial for fostering innovation and sustaining long-term progress.

3. *Security Issues:* Sharing sensitive financial information requires robust safeguards, as even a single breach could significantly impact consumer trust. Consumers and institutions are constantly concerned about data breaches and misuse. Enhancing cybersecurity safeguards and fostering confidence in secure data-sharing systems are essential. Customer trust in financial institutions is vital in shaping the unique Open Banking and Open Finance ecosystems. Open Banking does not make customer financial data publicly accessible. Instead, it employs a secure, regulated framework for information sharing. This framework relies on strong security measures and responsible access by authorised third-party providers.

Therefore, regulations concerning know-your-customer (KYC) and anti-money laundering (AML) must be reinforced to cultivate confidence within the financial ecosystem. Fintech companies also bear the responsibility of improving cybersecurity measures and promoting trust in secure data-sharing platforms.

4. *Financial Literacy:* Cultural resistance poses a barrier to Open Banking, as many consumers and

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traditional banks remain cautious about data control and security. Consequently, financial literacy has shifted from a luxury to a necessity with the rise of Open Banking. This implies that banks and fintechs should invest in raising awareness of alternative payment methods and educating consumers and businesses about the benefits of Open Banking across MENA, enabling them to make more informed financial decisions. Neglecting to do so may lead to unintended consequences. Open Banking can potentially empower individuals in the digital age, but it also introduces new risks and concerns. Customers who are unfamiliar with the complexities of financial products and services may struggle to navigate the various options available to them. Complacency and over-reliance on technology may worsen this issue. Therefore, educating consumers is vital to changing perceptions and driving engagement in the region.

5. *Flexible frameworks:* An important first step in opening up more industries, such as Open Insurance, which could significantly enhance consumer empowerment, is to convert types of data beyond payments into action initiation in Open Finance. Analysing the development and commercialisation of Open Data movements, along with the roles of various cross-sector regulatory bodies, will prove helpful as jurisdictions work toward creating comprehensive Open Data ecosystems. Policymakers can draw on these insights to guide the creation of flexible frameworks that foster both innovation and consumer safety.

6. *Partnership:* As open banking matures, stakeholders must prioritise collaboration. With the right strategic alliances, fintech companies in the Middle East can confidently expand beyond banking and contribute to a more inclusive and financially literate society. As open finance broadens data-sharing capabilities into areas such as insurance, wealth management, and investment services, the right partnership yields more holistic and customer-focused solutions.

Therefore, both fintech companies and traditional financial institutions should be more open to collaboration, particularly in terms of cross-border partnerships, to seize the emerging opportunities in the dynamic realm of open finance. This commitment may also exert some pressure on regional -and even global- regulatory bodies to update and modernise policies and promote cross-border innovation.

7. *Monitoring big tech:* The big tech firms (such as Amazon, Apple, Google, and Meta) have unique access to vast amounts of data, which could lead to better products, more competitive prices, and broader choices for customers and businesses. However, there are significant considerations surrounding the expanding roles of big tech in this area. Their entry into financial services introduces additional regulatory challenges; for example, regulators must consider how to oversee these companies' operations in a way that protects consumer interests, promotes fair competition, and prevents the consolidation of market power. Addressing these challenges is also crucial for effectively scaling Open Banking and Open Finance.

Challenges for Banks

The region's banking and financial services sector is undergoing a seismic shift driven by technology and innovation. Fintech is no longer merely a complementary force; it is becoming central to the financial ecosystem. The Middle East appears to be rapidly advancing towards Open Banking, propelled by regulatory frameworks designed to foster innovation and financial inclusion. Bahrain, Saudi Arabia, and the UAE are at the forefront, with significant

recent developments including the release of the second phase of the Open Banking Framework in Saudi Arabia by the Saudi Central Bank (SAMA), which focuses on Payment Initiation Service (PIS) standards, as well as the introduction of open finance regulation by the Central Bank of the UAE.

By providing a framework and standards that allow third-party providers to initiate payments on behalf of customers, Open Banking will promote competition between established banks and fintechs. While banks have the chance to create new customer experiences and revenue streams by monetising APIs and partnering with fintechs, Open Banking also poses challenges for banks. According to a report by Capco[2], a global management and technology consultancy specialising in driving transformation in financial services, Middle Eastern banks should carefully examine and respond to these four implications:

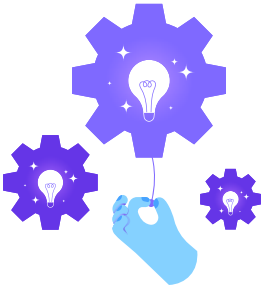
1. *Monitor regulatory developments:* Staying updated on regulatory changes is crucial as governments and central banks refine open banking frameworks. Banks must evaluate the actual rate of progress in each market, collaborate with regulators to help shape policies that benefit the wider financial ecosystem, and prepare for compliance. Preparations will involve integrating systems and processes to support data security, customer consent management, and interoperability.

2. *Reevaluate operating models:* Banks must adopt a more open, collaborative approach while maintaining operational efficiency. This may involve adjusting revenue strategies to incorporate new income streams, such as API monetisation, and reorganising internal structures to facilitate agile development and rapid innovation. Banks should also consider strategies to accelerate core transformations that support a more demanding real-time environment.

3. *Invest in API infrastructure:* With the introduction of SAMA's PIS standards, Saudi Arabia's banks must prioritise building infrastructure to enable seamless, secure payment initiation. This involves developing robust APIs, ensuring compatibility with third-party systems, and creating user-friendly interfaces to enhance customer experience. Bahrain's open banking framework has already driven similar API adoption, serving as a reference for Saudi banks as they navigate SAMA's standards.

> Open Banking is not the only driving factor that fintechs should consider for continued growth. Other factors contributing to the fintech boom include digital payments, Buy Now, Pay Later (BNPL), embedded finance, and more.

4. *Collaborate with fintechs:* Each bank should identify and partner with innovative fintechs that best enhance its offerings. Collaboration can speed up the delivery of new services, such as real-time payments, account aggregation, and financial management tools.



Strategic alliances will enhance bank competitiveness in a market increasingly dominated by tech-driven financial solutions. The success of Open Banking depends on creating value for end-users. Banks should utilise customer insights and behavioural data to deliver customer-centric solutions that improve financial access, enhance personalisation, and simplify personal financial management.

Other Driving Factors

Of course, Open Banking is not the only driving factor that fintechs should consider to continue their growth. There are other factors to consider that drive the fintech boom:

- *Digital payments:* Alongside the rise of Open Banking, the MENA region is also witnessing a surge in digital payments. The Middle East's innovative strategies for digital payments are fostering economic growth and enhancing financial inclusion by serving underserved markets. For example, by providing services

like IBAN-based real-time payments, digital payment apps help micro, small, and medium enterprises lessen their reliance on cash while removing the necessity to invest in expensive digital infrastructure. Additionally, features such as e-remittances simplify and improve safety for migrant workers, who continue to encounter challenges in accessing traditional banking services when sending their money back home. In other words, the Middle East is leading the digital payment revolution, driven by a young, tech-savvy population.

Thanks to the region's demanding young, tech-savvy population, more seamless and hassle-free forms of digital payments have taken off for consumers. The rise of direct bank transfer solutions and other alternative payment methods reduces reliance on traditional card networks. Businesses and consumers will benefit from lower transaction costs and faster settlements.

- *Buy Now, Pay Later (BNPL):* The Middle East region is well-positioned for the growth of BNPL services. Contrary to the global decline, the MENA region is witnessing a continued rise in their popularity. According to Wamda[3]; BBNPL startups have significantly influenced funding trends for startups in the MENA, and their model has gained immense popularity among consumers due to its flexibility and ease of use. BNPL providers in the MENA region have become one of the hottest trends in fintech in recent years. They have been forming strategic partnerships with local retailers, thereby increasing their market reach.

These companies provide consumers with a convenient method to distribute the cost of purchases over time, often without any interest charges. Major companies like Tamara and Tabby have effectively capitalised on this demand by offering seamless payment options during checkout.

- *Embedded Finance:* As a disruptive force that financial institutions cannot ignore today, the embedded finance market is expected to reach $7.2 trillion globally by 2030, according to a report[4] by Dealroom and ABN AMRO Ventures. In the MENA region, the market, valued at $11.2 billion in 2024, is projected to soar to $37.7 billion by 2029, as reported by Research and Markets[5]. This impressive growth highlights the increasingly vital role of this sector in transforming financial ecosystems both regionally and globally.

The UAE is emerging as a leading embedded finance market with significant momentum. The country's embedded finance revenues are projected to increase from US$1.56 billion in 2024 to US$5.50 billion by 2029[6]. The industry is expected to grow steadily over the forecast period, recording a CAGR of 28.6% from 2024 to 2029.

In summary, the future of finance, as mentioned by the World Economic Forum, is embedded — and it's progressing rapidly!

Conclusion

The shift towards Open Banking, Open Finance, and Open Data is propelling a transformation in financial services powered by APIs. This unstoppable global movement is revolutionising traditional financial services across the globe, with different regions showcasing compelling examples of what Open Banking and Finance can accomplish.

By establishing robust legal frameworks and centralised infrastructure, Middle Eastern countries like Saudi Arabia and the United Arab Emirates foster financial innovation in the region.

With a broad scope and a clear commercial framework, the UAE, in particular, has established itself as a global fintech hub. Open Finance in this country is driven in a highly innovative manner, providing the national ecosystem with a central infrastructure that ensures speed, high quality, and cost-effective delivery. Globally, we observe that the fastest-moving markets are attracting talented individuals, promoting economic growth and greater inbound investment.

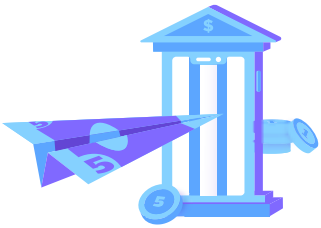
So, the question is: What does the near future hold for Open Banking and Open Finance?

First of all, the future of Open Finance is global. We are not just talking about the EU, the UK or the US.

Secondly, we believe that the global rollout of Open Banking and Open Finance will persist at an accelerated pace. The Cambridge Centre for Alternative Finance suggests in its 2024 report[7] that Open Banking and Open Finance have gained global traction, with 95 markets offering their benefits to customers and businesses.

The design and technical architecture of these frameworks may differ significantly based on each market's policy priorities, financial market structures, level of digital preparedness, and regulatory landscape. Regulatory approaches demonstrate regional clustering. For instance, Europe, Central Asia, the Middle East, and North Africa predominantly follow regulation-led models, while Sub-Saharan Africa and the Asia Pacific largely adopt market-driven approaches. In any case, we are witnessing significant momentum building across Asia, Africa, and Latin America, attracting large populations and economic regions as they work to maximise the potential of Open Finance.

Thirdly, the speed of adoption and the benefits that the financial data ecosystem can gain from Open Banking rely heavily on one key concept: interoperability, which refers to the ability of one system to work with another. Interoperability in Open Banking means that data flows easily and securely between data providers – typically banks and credit unions – and third-party data recipients (i.e., fintechs and other providers of financial products and services). As the global movement becomes more complex, interoperability will be essential, enabling greater access, efficiency, and innovation within the financial ecosystem.



The world's financial systems must collaborate seamlessly, enabling consumers and businesses to share data and conduct transactions across borders without friction. In other words, they should facilitate cross-border data portability through open finance interoperability.

While a single global standard is highly unlikely to emerge in the short term, we anticipate progress toward interoperability shortly. This becomes incredibly important during significant moments in consumers' lives. We already see FAPI establishing itself as the de facto security protocol. Meanwhile, we will benefit from the evolution of domestic Open Banking standards in diverse and innovative ways as they develop greater capabilities across payments, embedded finance, and broader product sets. In fact, in the short term, the divergence should accelerate innovation for those who can navigate the complexities.

Moreover, advancements in technology, such as AI, blockchain, and quantum computing, are likely to play a crucial role in enhancing interoperability within the Open Finance space. These emerging technologies have the potential to streamline processes further,

improve data sharing, and facilitate smoother interactions among financial institutions.

It seems we won't have to wait long to reach that level. We may observe the first signs of global interoperability and collaboration emerging. As predicted[8] by Huw Davies, co-founder and CEO of Ozone API, 2025 may be the year we witness tangible progress toward interoperability among domestic Open Banking ecosystems. Collaborations among governments, regulators, and industry stakeholders can enhance interoperability, foster more inclusive ecosystems, and unlock significant economic benefits in sectors like trade finance.

Fourthly, changing consumer expectations are accelerating the transition to interoperable financial services. Customers' growing demand for seamless, integrated experiences, as they become more tech-savvy, is compelling the financial sector to adopt more collaborative models that meet these demands while also enhancing service delivery efficiency.

Finally, cybersecurity threats and fraud remain significant concerns, especially as sensitive financial data flows through more interconnected systems. However, innovation is occurring not just on the attackers' side — defenders are also rising to the challenge.

Advancements in fraud detection and prevention- such as AI-driven anomaly detection and biometric authentication- will become industry standards. International cooperation will also be essential, with global organisations like ISO leading the way in developing frameworks that balance security with the flexibility needed to foster innovation. These should also be integrated into Open Banking standards.

Certainly, the road ahead is uncertain as we look toward 2026, but it is incredibly exciting. Globally, we will continue to see acceleration in various markets, including MENA, as they progress toward actual implementation.

If these challenges are addressed with the determination and creativity they require, Open Finance could genuinely transform the global economy. Envision a world where consumers have complete control over their financial data, underserved communities, including those in the Middle East, gain access to credit, and cross-border transactions occur as seamlessly as sending an email. With the right strategies and partnerships, the Middle East can become a global fintech hub, unlocking new opportunities for consumers and businesses.

That's the promise of Open Finance, and with the right steps, 2025 and 2026 could be pivotal years for its realisation.

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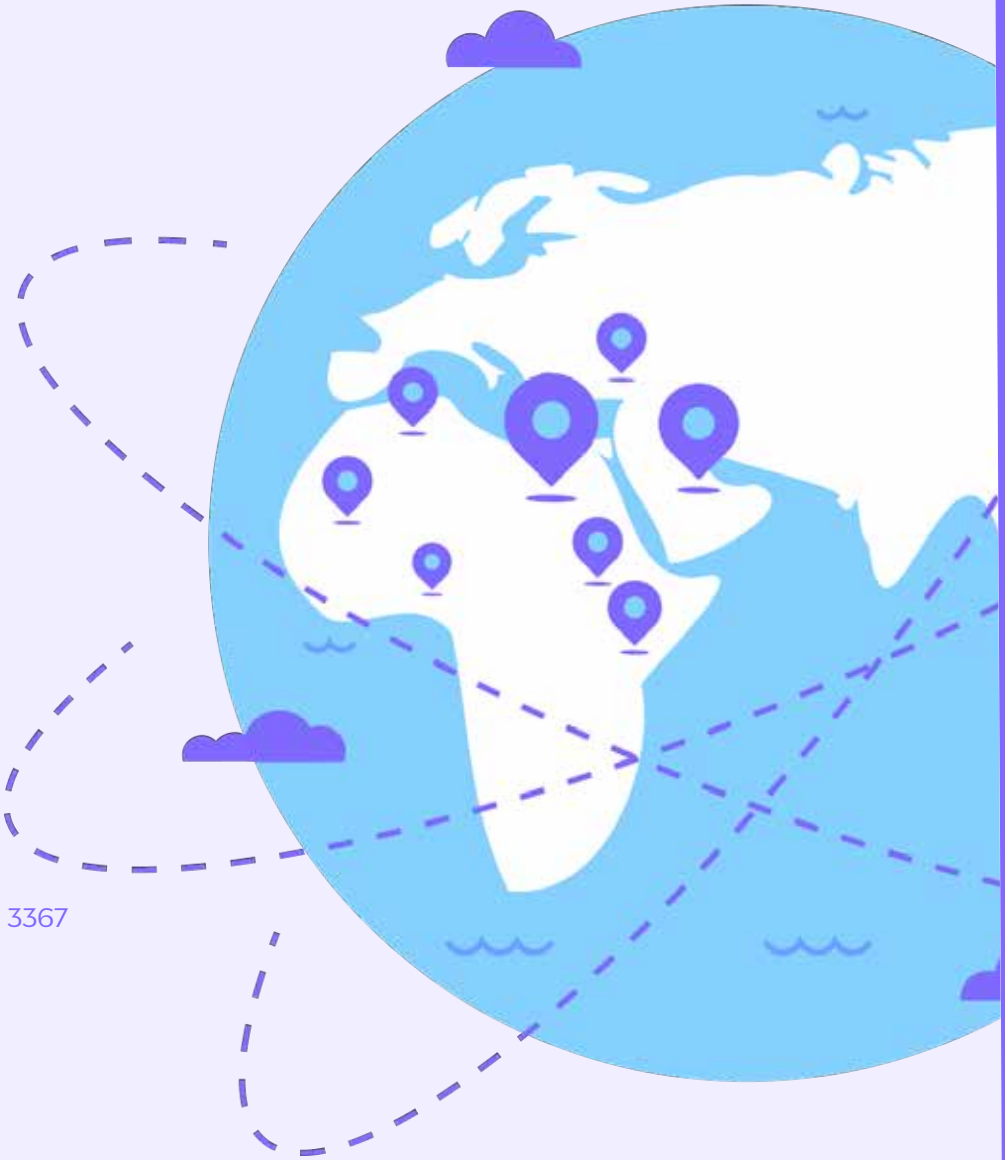

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